

PROJECT SOUTHEAST ASIA

Transaction Review: the announced sale to Nippon Paint against our September case study

Independent Student M&A Case Study | 9 October 2026 | Post-announcement v2 refresh

Independent student analysis/reconstruction based on publicly available information. Not affiliated with, commissioned by, or representative of Goldman Sachs, AkzoNobel or Nippon Paint.

ANNOUNCED TRANSACTION

AkzoNobel agreed to sell its seven-country Decorative Paints business to Nippon Paint at EUR 1.2bn

PUBLIC FACT

EUR 1.20bn

Enterprise value (USD 1.35bn)

PUBLIC FACT

21x

FY2025 EBITDA, as stated by AkzoNobel

PUBLIC FACT

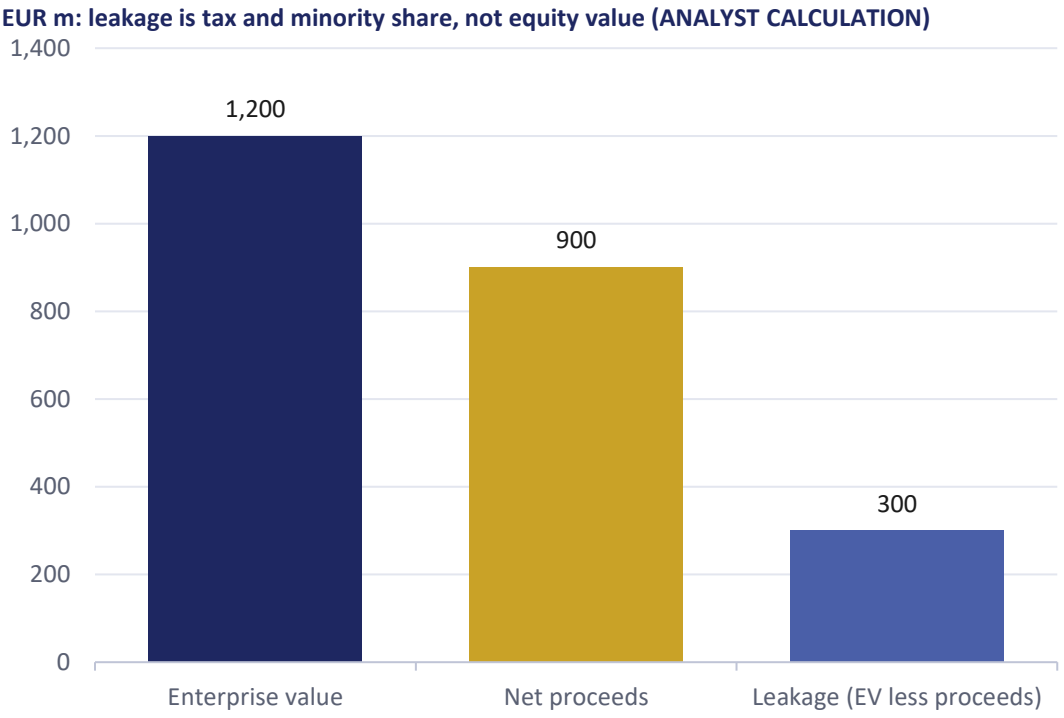
EUR 0.9bn

Net cash proceeds after taxes and minority partners (USD 1.0bn)

REPORTED

~16x

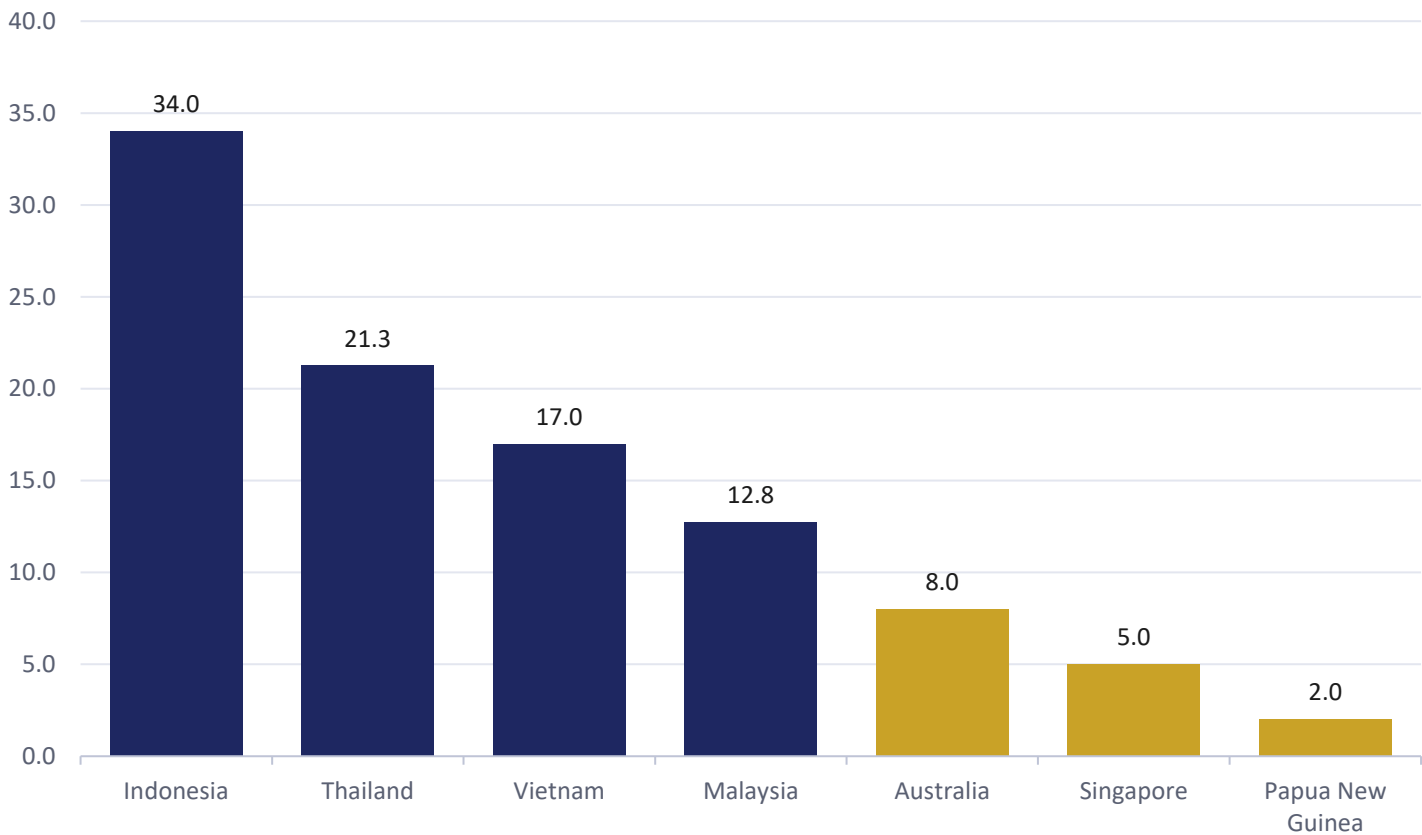
2026E EBITDA, per Nippon Paint; outlets attribute it to Nippon Paint, primary release not read



Perimeter: Decorative Paints in Vietnam, Indonesia, Malaysia, Thailand, Singapore, Papua New Guinea and Australia. AkzoNobel keeps Coatings and Global Business Services. Agreements signed 3 Oct 2026 (REPORTED, two outlets); Indonesia closes late 2026, the other transactions mid-2027, subject to regulatory approvals (PUBLIC FACT).

The announced perimeter has seven countries; the September case study modelled four

Illustrative revenue split, % (ILLUSTRATIVE ASSUMPTION; navy = modelled in September, gold = added)



What this changes

Added markets: Singapore, Papua New Guinea, Australia. Together an assumed 15% of revenue.

Blended statutory tax rises to 22.04% and the revenue-weighted country risk premium falls to 1.44% (ANALYST CALCULATION on illustrative weights).

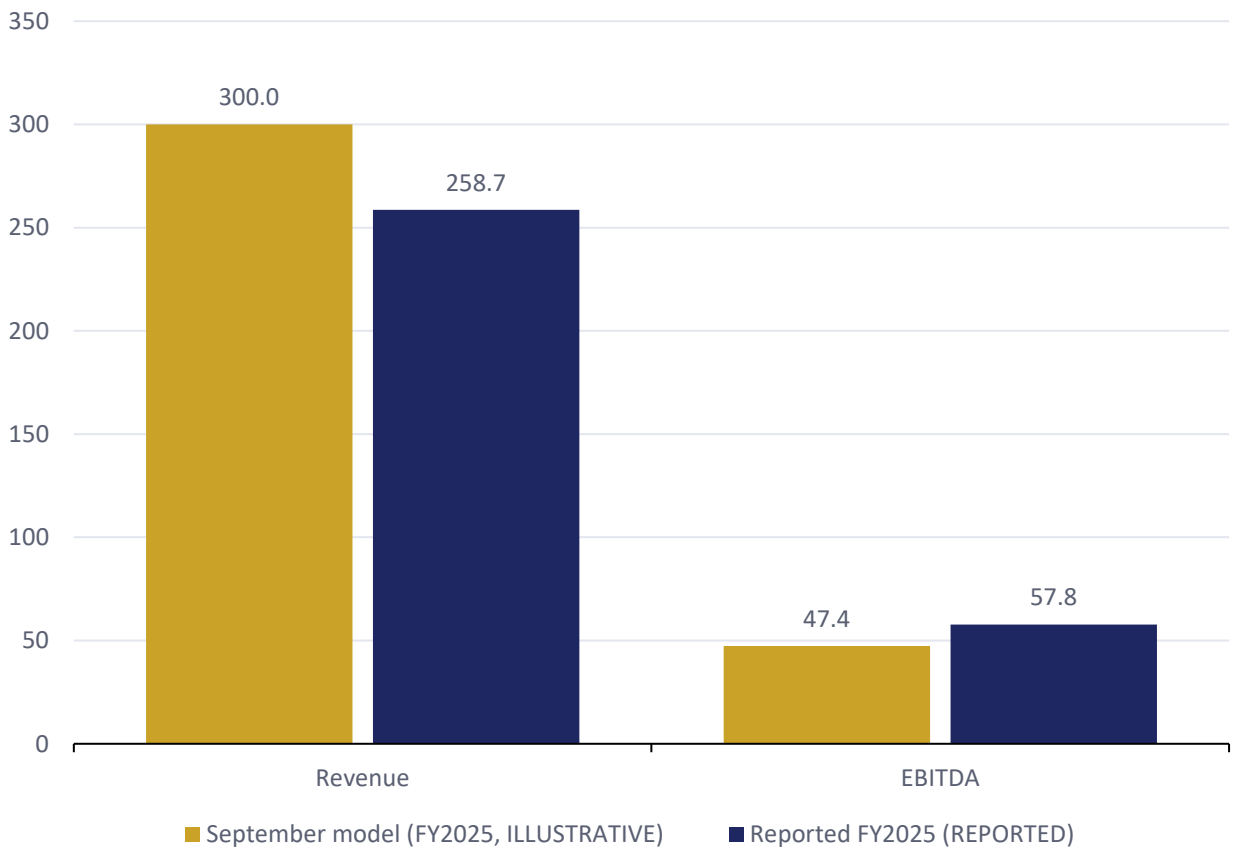
Equal-weighting the seven countries would move WACC by only -0.02 percentage points, so the undisclosed split is not what drives value.

The reported totals (USD 291m revenue) cover all seven; our EUR 300m anchor covered four.

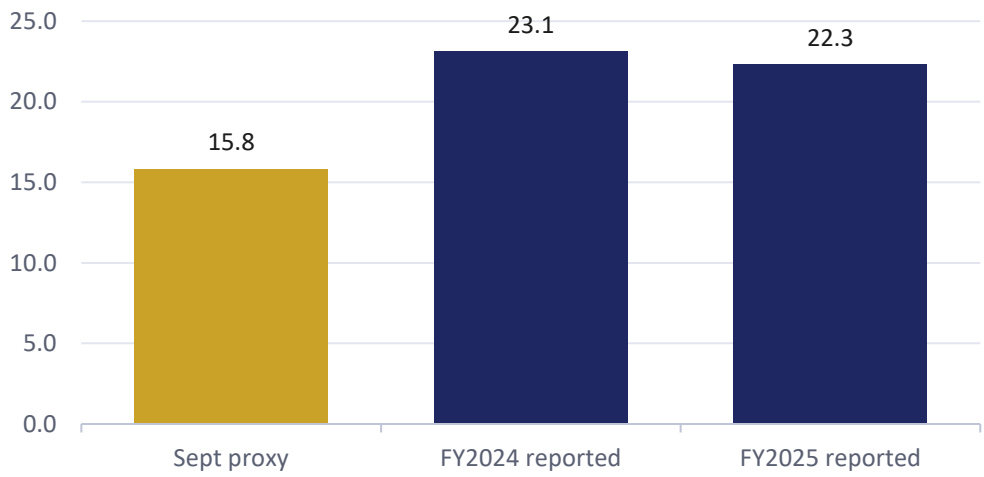
Source: AkzoNobel release (SRC-037) for the seven countries. Country split is an ILLUSTRATIVE ASSUMPTION (v2 model, Assumptions section 4): no country revenue is disclosed.

The reported margin of 22% was well above our 15.8% September proxy, and revenue was lower

FY2025 revenue and EBITDA, EUR m



EBITDA margin, %



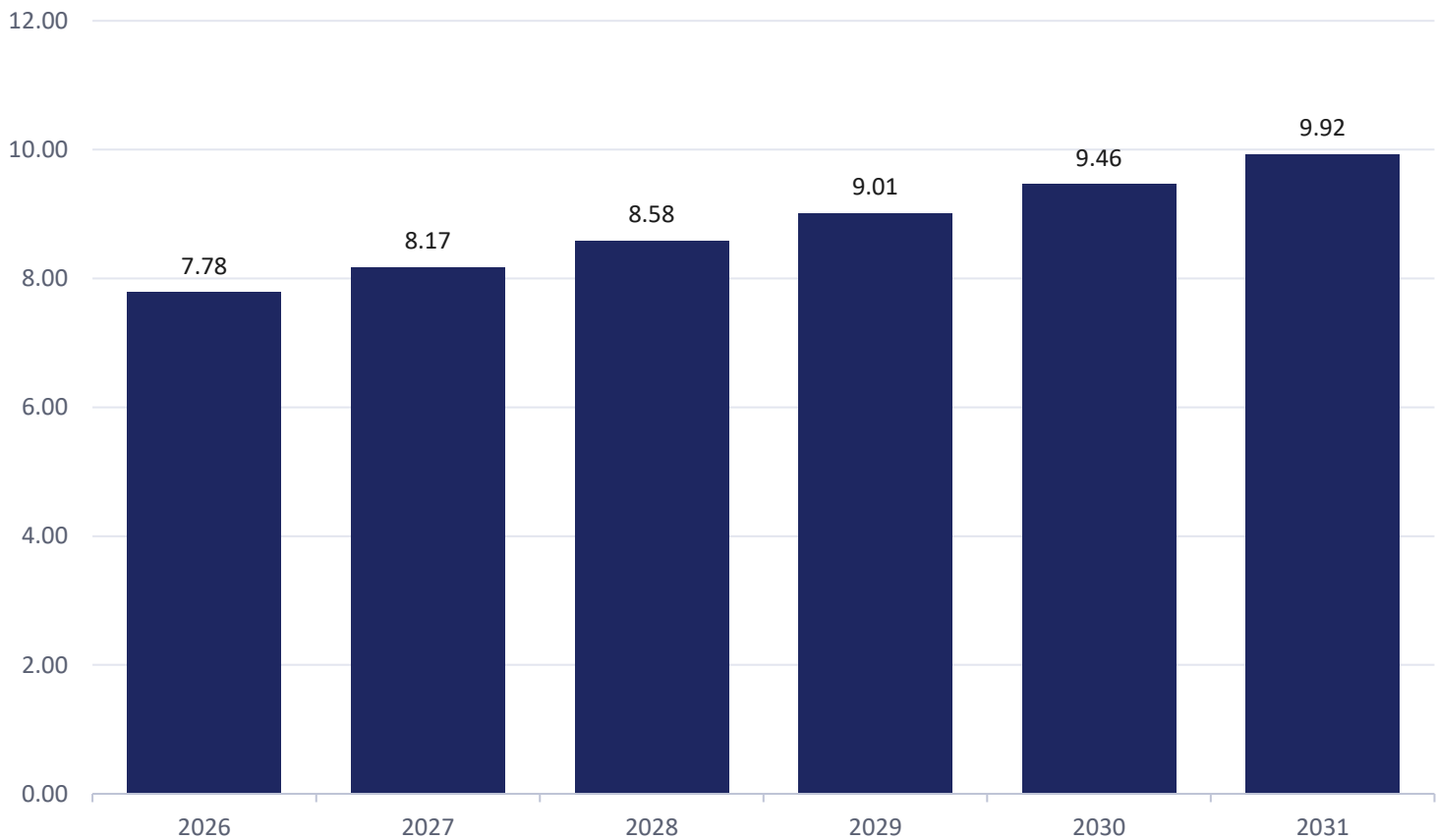
USD 291m / USD 65m (FY2025) and USD 299m / USD 69m (FY2024): REPORTED, not PUBLIC FACT.

65 / 291 = 22.3%. At the announced USD 1.35bn, 21x on USD 65m reconciles to AkzoNobel's own multiple.

Not known: whether the reported margin is on a standalone basis.

The ASEAN paints and coatings market was projected to grow at about 5% a year through 2031

ASEAN paints and coatings market, USD bn (REPORTED by ION Analytics)



How v2 uses it

Base case grows 5% a year: the only cited growth anchor. It is the market rate applied to the business, not a business forecast.

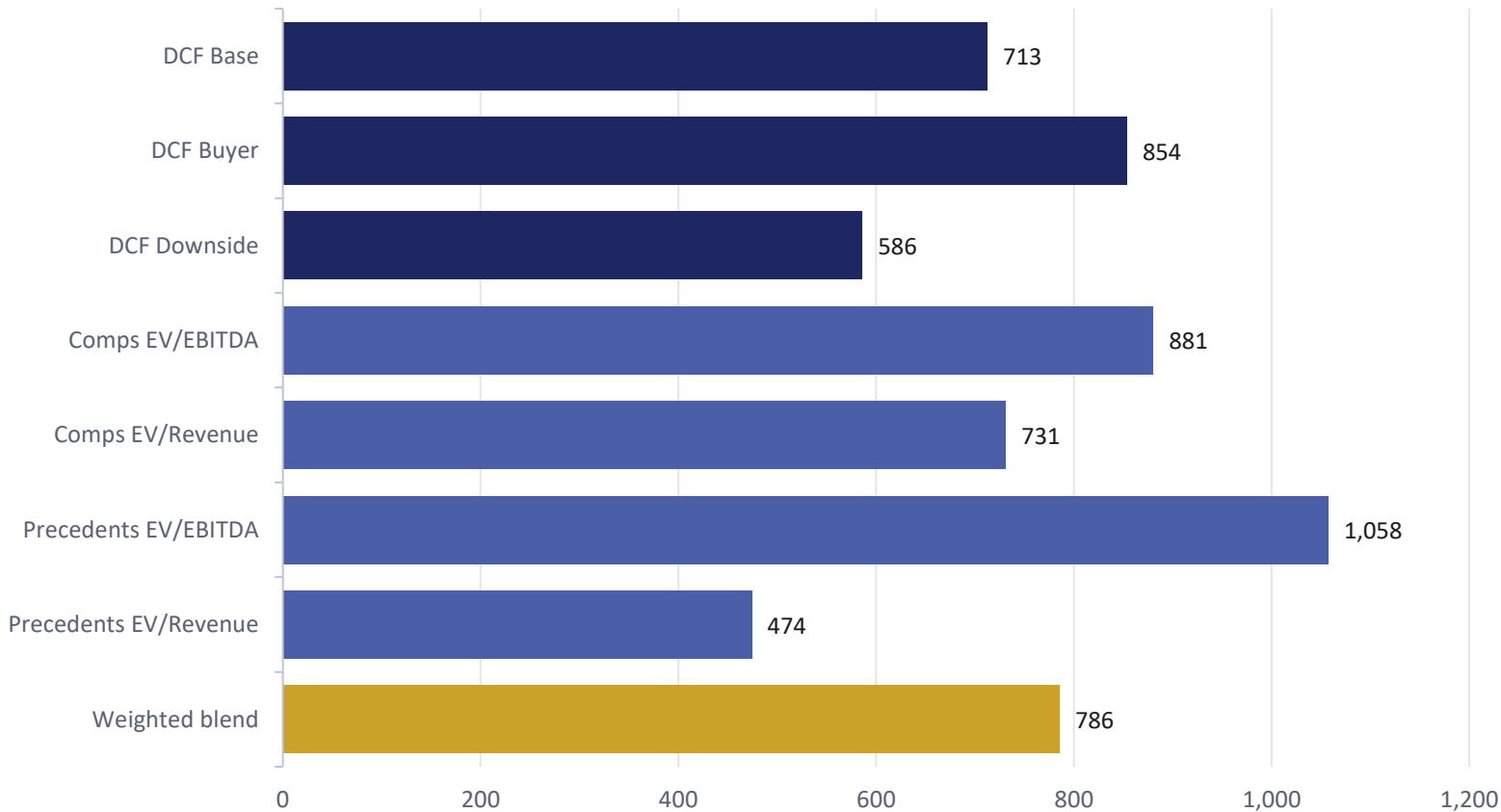
Downside uses 3%. Buyer case uses Nippon Paint's reported 2026 projection (single-source, PCI Magazine) and then 5%.

Nothing here was changed by the announcement: the market data predate it and were not refreshed.

Source: ION Analytics article citing ASEAN paints & coatings market sizing, 2026-2031 (SRC-001); September deck slide 5. Market size is the source's figure; applying ~5% to this business is our ILLUSTRATIVE ASSUMPTION.

Three DCF cases and the market methods put value between EUR 470m and EUR 1,060m, before the price check

Mid-point enterprise value, EUR m



Weights fixed first

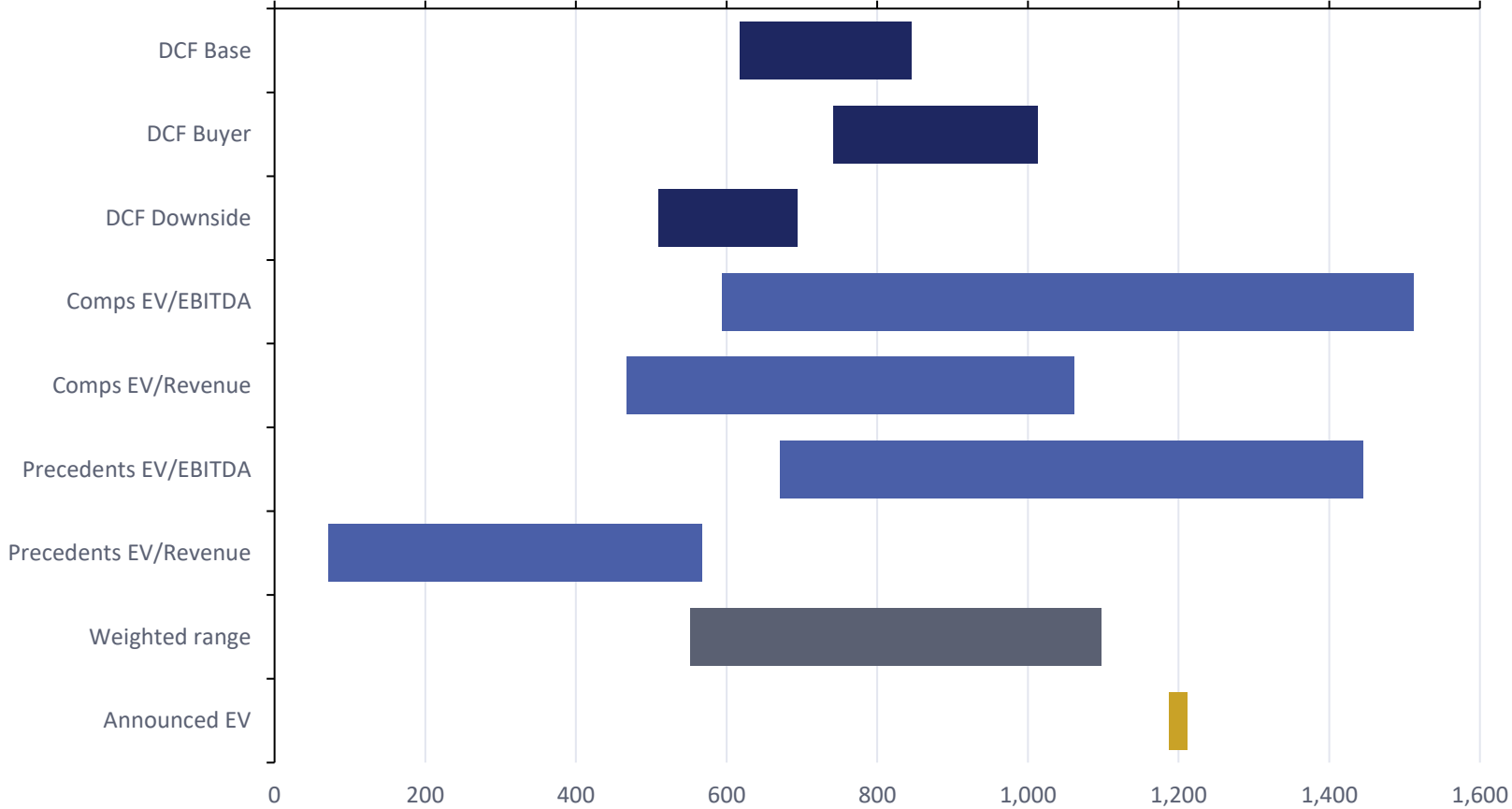
DCF 40% (Base 25, Buyer 7.5, Downside 7.5); comps EV/EBITDA 25%; precedents EV/EBITDA 15%; each EV/Revenue method 10%.

Weighted range EUR 550 / 775 / 1,100m (low / mid / high), set before the comparison with the price.

WACC 8.82%; terminal growth 3.0%.

The announced EUR 1.2bn sits above the top of our weighted range and above every DCF case

Enterprise value range by method, EUR m (gold = announced price)



The gap

Weighted mid EUR 785m: the price is EUR 415m (53%) above.

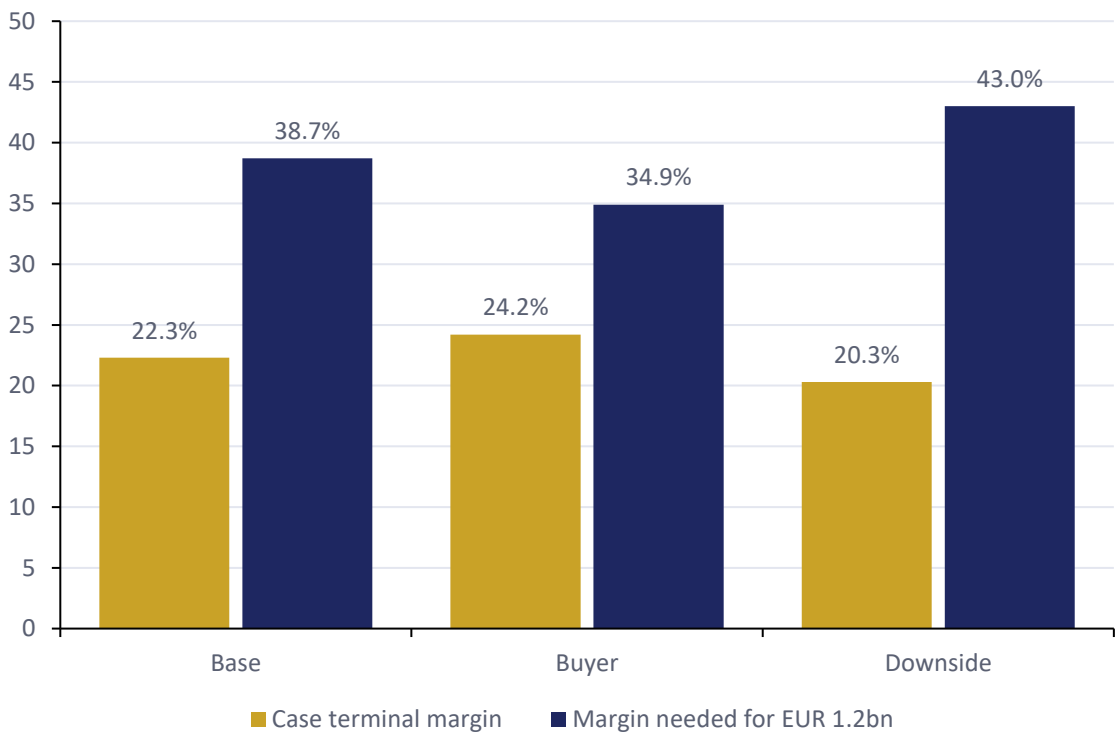
Recommended range EUR 550 / 775 / 1,100m; price above its high end.

Only 2 of 7 methods reach EUR 1.2bn at their high end, both on EV/EBITDA.

Gap stays 46% to 68% under four weightings.

To reach EUR 1.2bn on standalone cash flows, the terminal margin must be 35% to 43% or growth 5% to 6%

Terminal EBITDA margin, %



Perpetual growth, % (WACC held at 8.82%)



For reference: reported FY2025 margin 22.3%; Nippon Paint's reported 2026 projection ~26%. The gap could reflect synergies, a lower discount rate, a better business than reported, or strategic value; this analysis cannot tell which.

Nippon Paint was the strongest fit we identified; who else bid is not public

Buyer	September rating (unchanged)	Outcome (Oct 2026)
Nippon Paint	Strongest fit; highest regulatory risk	BUYER (PUBLIC FACT)
SCG	Best overlap; reported in preliminary talks (ION, one source)	NOT MENTIONED in coverage
Kansai Paint	Plausible, weakly evidenced	No evidence either way
Asian Paints / Berger	Like-for-like product; prior Indonesia exit	No evidence either way
Sherwin-Williams	Weakest SEA fit; ample capacity	No evidence either way
PPG	2024 divestiture argued against	No evidence either way

What was and was not knowable

Right: overlap logic pointed at Nippon Paint, and the outcome matches. That is one data point, not proof the method works.

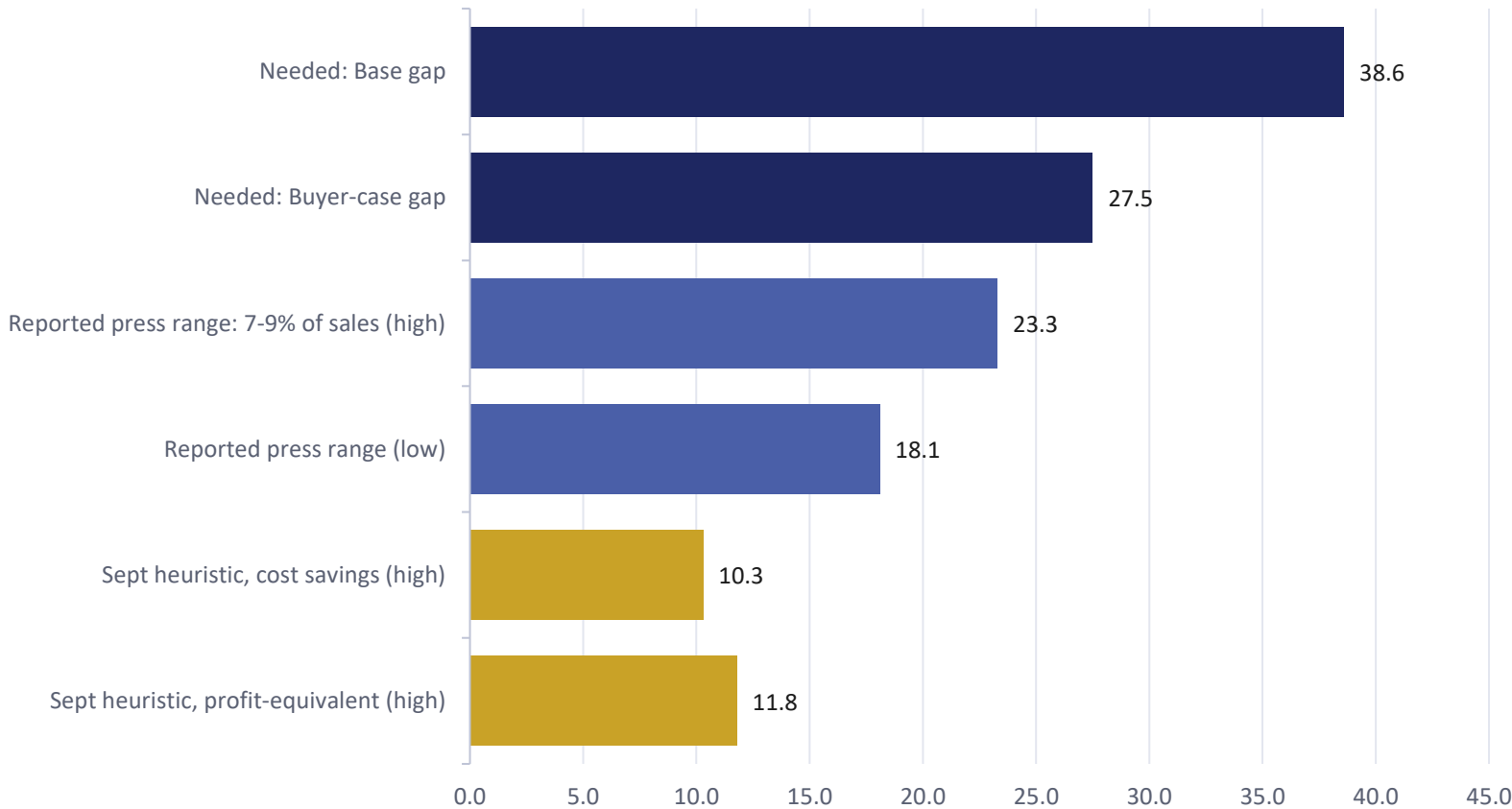
Partly missed: September treated a one-buyer and a country-by-country sale as equally open; the outcome is one buyer using several entities.

Not knowable from public information: the bidder list, other offers, and why Nippon Paint's earlier whole-division offer was rejected while this sale was agreed.

SYNERGIES NEEDED

Closing the gap with cost synergies alone would take EUR 27m to 39m a year, far above September's heuristic

Run-rate annual saving, EUR m (ILLUSTRATIVE)



Reading it

Gap to standalone DCF: EUR 487m (Base, 41% of price) and EUR 346m (Buyer case, 29%).

Needed saving: 14.9% / 10.6% of FY2025 revenue, or 67% / 48% of EBITDA.

It could equally be a lower discount rate, a better business than reported, or strategic value. This cannot separate them.

Full run-rate from day one flatters the result.

PROCESS AND TIMELINE

From a reported review in April to a signed deal on 3 October, with closings staged through mid-2027



September's 'no timeline known' no longer holds. What is still not public: who participated, how many bids there were, and how the earlier whole-division offer (rejected) relates to this sale.

Several buyer entities take different countries, so closing risk is staged rather than single



No view is given on why the structure was chosen. Transfers in Thailand, Australia and Papua New Guinea cover receivables, inventory and other assets and liabilities (REPORTED, SRC-042).

September's market-multiple evidence held up better than its DCF-led range and its perimeter

Held up

Trading-comps EV/EBITDA range (10.3x to 26.2x) bracketed the announced 20.8x on reported FY2025 EBITDA.

Nippon Paint rated the strongest fit and the highest regulatory risk; it is the buyer, and approvals are closing conditions.

The September framing that the asset might be sold as one platform was named as an option.

The EUR 300m revenue anchor and the 15.8% margin proxy were labelled illustrative in September, so the miss was disclosed rather than hidden.

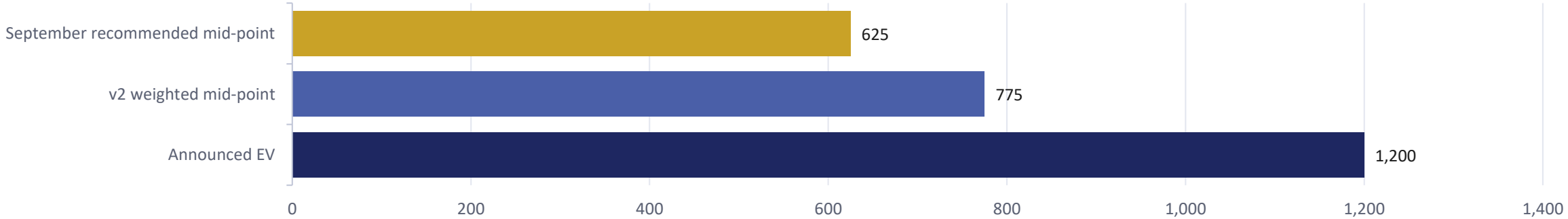
Did not hold up

Four countries (the announced perimeter is seven) and the EUR 300m revenue anchor (reported EUR 259m).

The 15.8% margin proxy (reported 22.3%).

The DCF-anchored EUR 500m to 775m recommendation: the price is 55% above its top; the v2 weighted range (EUR 550m to 1,100m) still sits below the price.

Excluding the 25x JSW precedent from the working range; SCG as a likely participant (not mentioned in coverage, which does not show whether it bid); 'no timeline known'.



The conclusions rest on reported financials, an illustrative country split and September market data

REPORTED	FY2024/FY2025 revenue and EBITDA: several outlets, attributed to Nippon Paint; primary release not read; not in AkzoNobel's release.
REPORTED	2026 projection (revenue above ~USD 330m, ~26% margin): single-source (PCI Magazine); absent from five other outlets checked.
ILLUSTRATIVE	Country split, country risk premiums, margin fade, downside step-down, integration cost: no source.
ANALYST CALC.	Comps dated 2026-09-18 and not refreshed; beta 0.821 unchanged; precedent EV/EBITDA rests on two data points.
UNAVAILABLE	Equity value (perimeter net debt and minority share not disclosed); bidder list; whether the reported margin is standalone.
NOT REFRESHED	September Information Memorandum and 07_Pitch_Deck remain the September record; see the status notice in this folder.